

Which picks work

Returns filter study · NSE · backtest design period 31 Dec 2018 – 30 Sept 2025 · prepared 27 Sep 2026

SETTINGS TESTED

324 runs

DESIGN PERIOD

31 Dec 2018 – 30 Sept 2025

HELD BACK (SEALED)

1 Oct 2025 – today

COSTS

0.3% each way

What we found

- 1 The unfiltered ranking beat every filter.** Across all settings, buying the top of the ranking with no filter returned a median +45.4% a year from 2019, against +26.8% to +31.0% for the stage filters. From mid-2023, when ratings exist, it returned +44.5% against +24.8% to +30.8% for every rating, stage and combined filter.
- 2 Filters did not make the ride smoother.** The median worst fall with no filter was –28.8% from mid-2023; the filters ranged –34.0% to –29.6%. Only 8 of 243 settings stayed inside the –20% limit, and every one is a combined filter that was either bought once and never rebalanced, or sat mostly in cash for want of stocks.
- 3 The deep falls are market sell-offs, made worse.** The three worst falls of the no-filter basket line up with the three Nifty 500 sell-offs (2020, 2022, late 2024 – early 2025), and the basket fell 1.1–2.2 times as far as the index in each. The small and mid-sized stocks the ranking favours fall harder than the market in a sell-off.
- 4 The gains come from strong years for smaller stocks.** The no-filter basket (Top 20, monthly) returned +134%, +139%, +75% and +78% in 2020, 2021, 2023 and 2024, but lagged the index in 2019 (–4% vs +8%) and in 2025 to September (–11% vs +2%).
- 5 Resetting to equal weight did better than holding as bought.** In 95 of 108 matched settings from mid-2023 (and 29 of 36 from 2019) the reset returned more — a median +3.6% a year — with about the same worst fall (–0.3%). This reverses the default I recommended when we added the switch; the numbers here are the better guide.
- 6 Basket size and rebalance frequency matter much less than the filter.** Their medians sit within a few points of each other; see the table on page 3.

Read every figure as an upper bound. The design period is a backtest over the same years the model's weights were fitted on, so these returns are in-sample and flatter what to expect. The last 12 months are sealed: nothing in this report looks at them, so they can test whatever we decide next. Prices are adjusted for splits and bonuses but not dividends, on both sides.

Return against worst fall, every setting

Each dot is one setting from mid-2023 (243 runs): the filter, basket size, rebalance frequency and weighting. Up is more return, right is a shallower worst fall. The green band is the -20% limit.



By filter, 29 May 2023 – 30 Sept 2025

Filter	Settings	Median return / yr	Median worst fall	Best worst fall	Beat Nifty	Trades won	Rounds short
All (no filter)	27	+44.5%	-28.8%	-25.7%	100%	55%	0%
Stage 2	27	+30.8%	-34.0%	-28.5%	100%	41%	0%
Buy+ · Stage 2	27	+29.2%	-30.6%	-27.5%	96%	46%	0%
Strong Buy	27	+28.7%	-31.7%	-26.2%	96%	52%	8%
Buy+	27	+28.6%	-30.5%	-27.3%	96%	48%	0%
Buy+ · Fresh S2	27	+27.3%	-29.6%	-9.1%	81%	42%	24%
Fresh S2	27	+27.1%	-31.0%	-20.6%	100%	39%	3%
Strong Buy · Stage 2	27	+25.7%	-33.0%	-24.4%	96%	47%	12%
Strong Buy · Fresh S2	27	+24.8%	-32.4%	-7.1%	74%	39%	90%
Nifty 500	—	+16.9%	-18.8%	—	—	—	—

Medians over every basket size, rebalance frequency and weighting for that filter. "Rounds short" is the share of rebalances where fewer stocks passed the filter than the basket holds; the rest waited in cash.

By filter, 31 Dec 2018 – 30 Sept 2025 (no ratings before May 2023)

Filter	Settings	Median return / yr	Median worst fall	Best worst fall	Beat Nifty	Trades won	Rounds short
All (no filter)	27	+45.4%	-41.5%	-36.8%	100%	53%	0%
Stage 2	27	+31.0%	-39.7%	-35.5%	100%	44%	0%
Fresh S2	27	+26.8%	-38.4%	-17.6%	93%	40%	7%
Nifty 500	—	+14.4%	-38.3%	—	—	—	—

Settings

29 May 2023 – 30 Sept 2025

Setting	Runs	Median return / yr	Median worst fall	Median return ÷ fall
Top 10	81	+29.6%	−32.6%	0.90
Top 20	81	+26.8%	−31.4%	0.86
Top 50	81	+30.8%	−29.5%	1.02
Never	27	+32.3%	−28.9%	1.12
Weekly	54	+28.8%	−31.4%	0.90
2 weeks	54	+27.6%	−30.4%	0.89
Monthly	54	+32.2%	−32.5%	0.95
Quarterly	54	+28.9%	−31.6%	0.92
Hold as bought	135	+27.1%	−30.4%	0.89
Reset to equal	108	+31.0%	−32.2%	0.99

31 Dec 2018 – 30 Sept 2025

Setting	Runs	Median return / yr	Median worst fall	Median return ÷ fall
Top 10	27	+30.8%	−43.3%	0.75
Top 20	27	+31.0%	−40.4%	0.79
Top 50	27	+34.4%	−37.6%	0.93
Never	9	+26.8%	−39.8%	0.66
Weekly	18	+34.1%	−39.1%	0.89
2 weeks	18	+32.9%	−38.9%	0.92
Monthly	18	+35.9%	−40.0%	0.87
Quarterly	18	+29.4%	−40.2%	0.71
Hold as bought	45	+30.0%	−39.7%	0.79
Reset to equal	36	+35.4%	−39.9%	0.91

Each row is a median across every filter, so rows mix different filters. "Hold as bought" also includes the never-rebalanced runs; the matched comparison in finding 5, same filter, size and frequency, is the fairer test of the two weightings.

Highest returns, 29 May 2023 – 30 Sept 2025

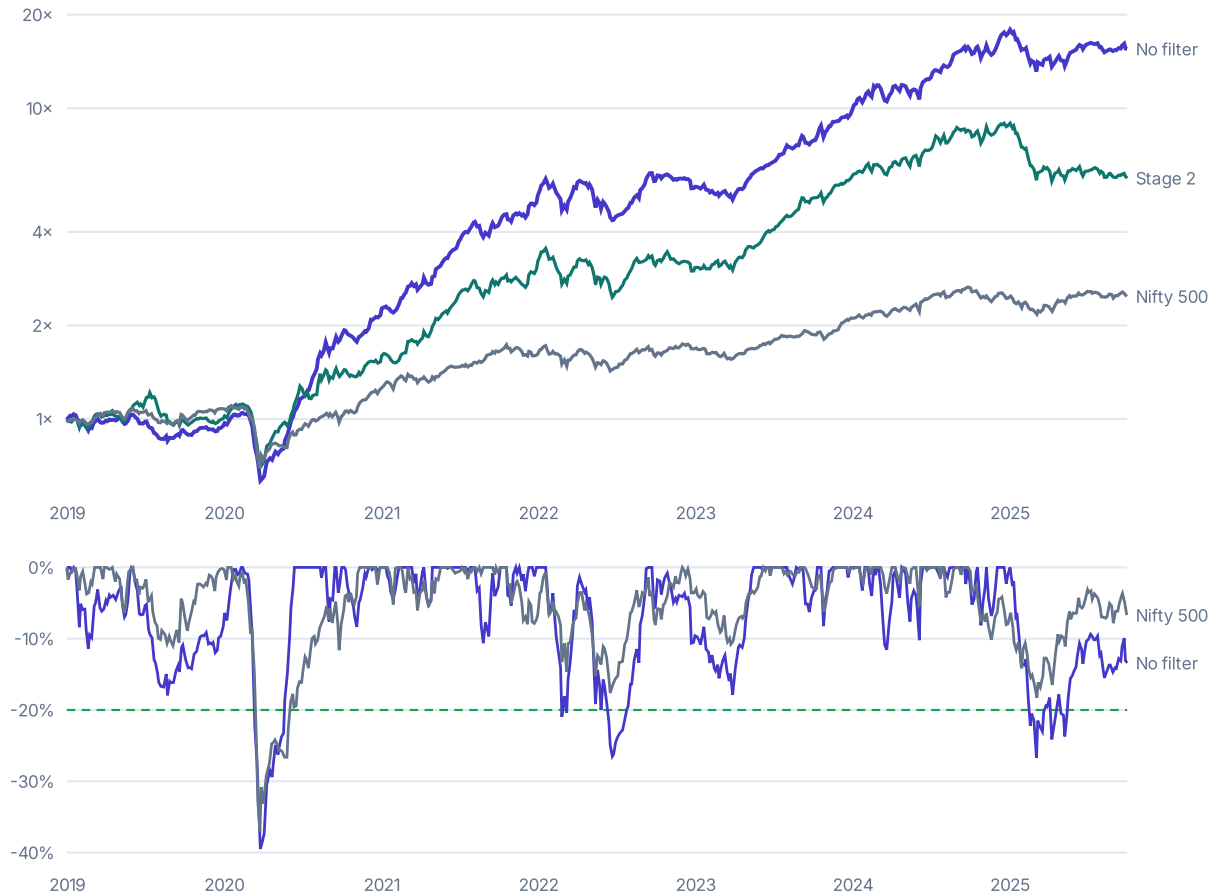
Setting	Return / yr	Worst fall	Return ÷ fall	Trades won	Rounds short
All (no filter) · Top 10 · 2 weeks · Reset to equal	+69.9%	−29.6%	2.36	59%	0/59
All (no filter) · Top 10 · Weekly · Reset to equal	+67.3%	−30.2%	2.23	57%	0/116
All (no filter) · Top 10 · 2 weeks · Hold as bought	+66.8%	−28.4%	2.35	59%	0/59
All (no filter) · Top 10 · Weekly · Hold as bought	+66.6%	−27.3%	2.44	57%	0/116
All (no filter) · Top 10 · Monthly · Reset to equal	+57.4%	−33.2%	1.73	60%	0/25
All (no filter) · Top 10 · Monthly · Hold as bought	+53.4%	−30.4%	1.75	60%	0/25
Strong Buy · Fresh S2 · Top 10 · Quarterly · Reset to equal	+53.2%	−32.4%	1.64	43%	8/10
All (no filter) · Top 20 · Weekly · Hold as bought	+52.1%	−27.1%	1.92	55%	0/116
All (no filter) · Top 20 · Weekly · Reset to equal	+51.6%	−27.0%	1.91	55%	0/116
All (no filter) · Top 20 · Monthly · Hold as bought	+49.9%	−27.5%	1.82	55%	0/25

Every setting inside the −20% limit

Setting	Return / yr	Worst fall	Return ÷ fall	Trades won	Rounds short
Buy+ · Fresh S2 · Top 20 · Never	+24.4%	−16.9%	1.44	— (held)	1/1
Strong Buy · Fresh S2 · Top 20 · Never	+18.7%	−14.3%	1.31	— (held)	1/1
Buy+ · Fresh S2 · Top 50 · Never	+10.6%	−9.1%	1.17	— (held)	1/1
Strong Buy · Fresh S2 · Top 50 · Never	+8.0%	−7.1%	1.12	— (held)	1/1
Strong Buy · Fresh S2 · Top 50 · Weekly · Hold as bought	+7.5%	−18.7%	0.40	36%	116/116
Strong Buy · Fresh S2 · Top 50 · Monthly · Hold as bought	+4.9%	−16.6%	0.30	44%	25/25
Strong Buy · Fresh S2 · Top 50 · 2 weeks · Hold as bought	+4.2%	−17.0%	0.25	36%	59/59
Strong Buy · Fresh S2 · Top 50 · Quarterly · Hold as bought	+1.3%	−16.1%	0.08	28%	10/10

Where the falls come from

Growth of ₹1 from 31 Dec 2018 (log scale), and how far each sat below its last peak.



No filter = All (no filter) · Top 20 · Monthly · Hold as bought. Stage 2 = Stage 2 · Top 20 · Weekly · Hold as bought. The dashed line is -20%.

The four worst falls of the no-filter basket

Fall	Peak → bottom	Back to peak	Basket	Nifty 500, same dates	Basket ÷ Nifty
1	19 Feb 2020 → 24 Mar 2020	15 Jun 2020	-41.5%	-36.2%	1.1×
2	17 Jan 2022 → 20 Jun 2022	9 Sept 2022	-29.1%	-17.9%	1.6×
3	3 Jan 2025 → 3 Mar 2025	not by 30 Sep 2025	-26.9%	-12.4%	2.2×
4	15 Sept 2022 → 28 Mar 2023	17 May 2023	-18.4%	-8.8%	2.1×

Year by year

Setting	2019	2020	2021	2022	2023	2024	2025*
All (no filter) · Top 20 · Monthly · Hold as bought	-4%	+134%	+139%	+5%	+75%	+78%	-11%
All (no filter) · Top 10 · Weekly · Hold as bought	-5%	+150%	+197%	-19%	+101%	+102%	-7%
Stage 2 · Top 20 · Weekly · Hold as bought	+1%	+55%	+110%	-6%	+97%	+44%	-32%
Fresh S2 · Top 20 · Weekly · Hold as bought	0%	+17%	+102%	+15%	+66%	+30%	-15%
Nifty 500	+8%	+17%	+30%	+3%	+26%	+15%	+2%

* 2025 runs to 30 Sep, the end of the design period.

The drawdown study, as agreed before it was run

No filter and no setting on the page keeps the worst fall inside -20% without giving up most of the return, because the falls are the market's, amplified. So the next study changes *how the basket is run* and leaves the scores alone, as agreed. To keep it honest, the rules, their numbers and the way we choose are fixed below before any of them is tested; nothing gets tuned after the results are seen.

Starting point. The no-filter ranking, Top 20, in two forms: weekly with reset to equal (the strongest settings above) and monthly held as bought (fewer trades). Same costs, same design period.

R1 Market switch. Each week, classify the Nifty 500 with the rule the model already uses for ratings (above or below its 200-day average, the average's 20-day slope, a 2% band). When it is risk-off, sell everything and hold cash; buy back at the first weekly check that is not risk-off.

R2 Small-cap switch. The same rule on the equal-weight index of every ranked stock, which tracks the smaller stocks the basket actually holds. In Jan – Mar 2025 the basket fell -27% while the Nifty 500 fell only -12%; a Nifty-based switch may never trigger on a fall like that. (This index starts Nov 2018, so the switch can first act around Sep 2019.)

R3 Stop per stock. Sell a holding at the next close after it closes 20% below its highest close since it was bought. Its slot waits in cash until the next rebalance, when it can be refilled by the normal rules.

R4 R2 and R3 together.

How we choose. Of the 8 runs (4 rules × 2 starting points), the one with the highest return a year among those whose worst fall stays inside -20%. If none does, the one with the shallowest worst fall among those that still beat the Nifty 500.

How we confirm. The chosen rule and its starting point without the rule are then run once on the sealed 12 months. We adopt it only if, there too, its worst fall is at least a third smaller than the starting point's and it still returns at least as much as the Nifty 500. If it fails, we don't adopt it, and the sealed period is spent.

Approved as written, with full cash on risk-off, and extended at your request to every combination of R1, R2 and R3 (8 per starting point, 16 runs). The numbers were not tuned.

What happened

Design period, 16 runs

Start	Rules	Return / yr	Worst fall	Return ÷ fall	Weeks in cash	Stops
Weekly, reset	none	+50.8%	−48.0%	1.06	0%	0
Weekly, reset	R1	+37.3%	−35.6%	1.05	10%	0
Weekly, reset	R2	+43.5%	−30.1%	1.44	11%	0
Weekly, reset	R3	+49.5%	−41.9%	1.18	0%	259
Weekly, reset	R1 + R2	+37.3%	−30.7%	1.21	15%	0
Weekly, reset	R1 + R3	+37.0%	−29.9%	1.24	10%	220
Weekly, reset	R2 + R3	+42.5%	−26.5%	1.60	11%	220
Weekly, reset	R1 + R2 + R3	+36.1%	−27.8%	1.30	15%	207
Monthly, hold	none	+50.1%	−41.5%	1.21	0%	0
Monthly, hold	R1	+33.7%	−30.4%	1.11	10%	0
Monthly, hold	R2	+41.7%	−29.1%	1.43	11%	0
Monthly, hold	R3	+49.9%	−27.6%	1.81	0%	266
Monthly, hold	R1 + R2	+34.1%	−30.4%	1.12	15%	0
Monthly, hold	R1 + R3	+33.9%	−29.0%	1.17	10%	233
Monthly, hold	R2 + R3	+40.3%	−27.6%	1.46	11%	235
Monthly, hold	R1 + R2 + R3	+33.0%	−29.0%	1.14	15%	221
<i>Nifty 500</i>		<i>+14.4%</i>	<i>−38.3%</i>			

No run stayed inside −20%. Under the fallback rule, the shallowest worst fall that still beat the Nifty 500 was **weekly, reset to equal, with the small-cap switch and the stop (R2 + R3)**: +42.5% a year and −26.5%, against −48.0% without rules. Almost all of that came from the 2020 crash; it barely changed the falls of 2022 and early 2025. That concern was written down before the sealed year was opened.

The sealed year, run once (6 Oct 2025 – 25 Sept 2026)

	Return	Worst fall	Weeks in cash	Stops
Weekly, reset, no rules	+8.98%	−15.3%	0%	0
Weekly, reset, R2 + R3 (chosen)	+1.02%	−17.3%	19%	14
<i>Nifty 500</i>	<i>−2.66%</i>	<i>−14.8%</i>		

Not adopted. The rule needed a worst fall at least a third smaller than the plain basket's, and got a deeper one (−17.3% against −15.3%). It still beat the Nifty 500, but gave up about 8 points to the plain basket: in cash a fifth of the weeks and stopped out of 14 holdings, it missed rebounds without avoiding the November – March fall. The sealed year is now spent; a new rule can only be confirmed on data from here on.

Where that leaves us

1. Hold less than all of the money in the basket. Keeping part in cash or a liquid fund shrinks every fall roughly in proportion — 60% invested turns a -48% fall into about -29% — at the same proportional cost in return. It needs nothing fitted to history, which no timing rule here could claim. **2. Test further rules forward:** write the rule down, then let the next months of published rankings judge it. **3. Make "Reset to equal" the page's default,** on the design-period evidence in finding 5.

Method: every run uses the dashboard's own Returns engine and filter rules (dashboard/lib/returns.mjs) on the stored weekly backtest rankings, stages and ratings, with split-adjusted closes; stocks are bought at the close of the session after the ranking. Return a year is compound (CAGR) from the first purchase to 30 Sep 2025; worst fall is the largest peak-to-bottom drop of the daily value after costs, as if sold that day.